

Harnessing *Fintech* potential for India

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Part I

“If I had asked people what they wanted, they would have said faster horses.” Henry Ford

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Which industry are we referring to?

Recent reports on payments

- ▶ Digital Finance for all: powering inclusive growth in emerging economies, 2016, McKinsey Global Institute
- ▶ World payment report, 2016, Capgemini and BNP Paribas
- ▶ Global payments 2020: transformation and convergence, BNY Mellon
- ▶ Digital payments 2020: the making of a \$ 500 bn ecosystem in India, 2016, BCG and Google

Key themes

1. Technology
2. Competition versus collaboration
3. Consumer expectations
4. Global trade flows
5. New business models
6. Regulation

The traditional view

- ▶ Payments, a utility product. Fundamentally transactional/tactical.
- ▶ Perceived as nothing more than the final step in a transaction.
- ▶ Traditionally provided by banks, which are highly regulated entities.
- ▶ Revenue sources – transaction charges + float.
No incentive to improve customer utility or experience.

New thinking

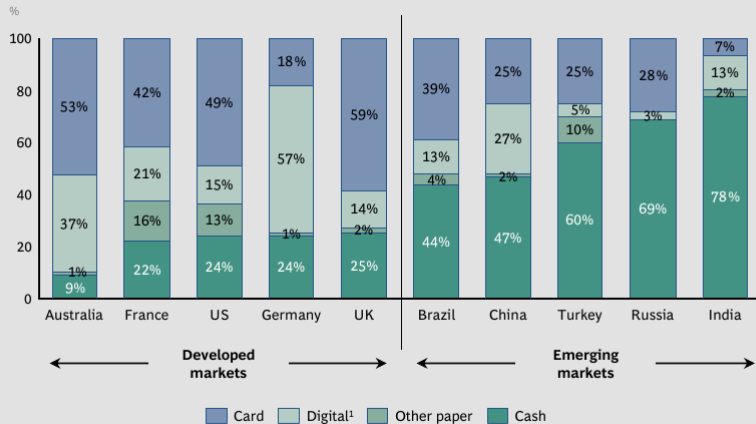
- ▶ Strategic view of payments – payment proximate activities.
- ▶ Both in small value, high mass and in high value, small mass activities.
- ▶ Opportunity to add demonstrable and differentiated value.
- ▶ Revenue sources: transaction charges, network effects.
- ▶ Customers benefit: faster, better, cheaper.

The scope of transactions

		Payment destination		
		Person (P/C) 	Merchant / Business (M/B) 	Government (G) 
Payment Initiation	Person (P/C) 	- Remittances - Domestic—migrant labor remittances - International - Seamless P2P transfers - Friends, family, etc. - Digital micro payments - Payments for services	Digital payment instrument for - Online merchant payments - E-comm, Utility bills, etc. - Proximity payments - In-store payments - Cash on delivery - Travel and transport	- Road toll - Tax - Payments for applications - Payments to semi government organizations such as educational institutions
	Merchant/ Bus (M/B) 	- Salary payments for daily contract workers - Reimbursements - Refund payments - Dividends	- Digital supply chain payments (Small business to business) - Retailer to distributor - Dealer payments etc. - Vendor payments	- Taxes - Excise duty payments - Toll payments
	Govt. (G) 	- DBT (Subsidy transfers) - Welfare scheme money transfers e.g. NREGA - Government employee salary	- Subsidies - Tax repayments	- Central government to state government transfers - Budget allocation payments to government agencies

Source: BCG analysis.

Current status: payment instrument mix in 2015



Sources: BCG Global Payments Model 2015, Reserve Bank of Australia Annual Report 2014, Euromonitor Passport, 2015

¹Digital includes electronic payments direct/ACH, mobile based payments etc.

The role of the state

- ▶ Risk-reduction
- ▶ Competition and transparency
- ▶ Innovation
- ▶ Standardisation

Thank you.